

Asia Vital Components (3017 TT)

 Target price: **TWD4,465.00** (from TWD3,880.00)

 Share price (9 Sep): **TWD3,380.00** | Up/downside: **+32.1%**

5 4 3 2 1


Buy
 (unchanged)

Revenue momentum heats up

- We expect its revenue to grow QoQ till end of 2027
- Aggressive capacity expansion plan for cold plate and manifolds
- Reaffirming our Buy (1) call and raising 12-month TP to TWD4,465

Helen Chien

(886) 2 8758 6254

helen.chien@daiwacm-cathay.com.tw

Neil Teng, CFA

(886) 2 8758 6256

neil.teng@daiwacm-cathay.com.tw



What's new: We received an update from AVC today (9 September). We reaffirm our Buy (1) call (see our latest flash note, [2Q26 results review: improving margins profile](#), on 12 August, and memo, [Record-high monthly revenue for August](#), on 7 September). We now forecast a 45.3% net profit CAGR over 2026-28E, from our previous forecast of 33.3%.

What's the impact: Near-term outlook update. We expect its 3Q26E revenue to grow by 17.6% QoQ and 4Q26E revenue to grow by 20% QoQ, mainly driven by GB300 and a rising revenue contribution from ASICs. We expect to see some revenue (cold plate and rack manifold) from Rubin in September 2026. We expect a sequential MoM rise in revenue (ie, record highs) until November 2026. We also believe its 1Q27 revenue will grow QoQ, thanks to the revenue contribution from ASICs. In 2H26, AVC's gross margin should further expand QoQ and HoH amid rising ASICs revenue and a better production yield rate, per our estimates. Overall, AVC assumes liquid-cooling revenue to account for 30-40% of 2026 revenue.

2027 capacity set to expand by 50% YoY to meet its revenue growth.

AVC plans to expand its cold plate modules capacity (mainly in Vietnam) by 50%+ and double its capacity YoY for rack and inner manifolds by 2027. AVC said most of the equipment will be ready in 2Q27 and production will start from 3Q27. We estimate its capex to be TWD15bn in 2026 and TWD17-18bn in 2027. In 2027, we expect higher revenue contribution from ASICs and servers, as well as an improved liquid-cooling penetration rate from ASICs (ie, 50%+ of liquid-cooling penetration rate for an ASIC client's project in 2027 vs. 10% in 2026) to bode well with its gross margin expansion in 2027. AVC also works on the liquid-cooling component development for CPU racks. We raise our 2026-28E EPS by 3-22%, mainly on our more aggressive assumptions on revenue, gross and operating margins.

What we recommend: We reiterate our Buy (1) call and raise our 12M TP to TWD4,465 (from TWD3,880), now based on a new target PER of 30x (from 29x) vs. past-3-year PER range of 5-25x (average PER of 15x) on its accelerating earnings momentum and stronger earnings CAGR of 45.3% from 33.3% over 2026-28E (0.66x PEG) and applied to 1-year forward EPS. Key downside risks: slower-than-expected progress in high-gross-margin orders, slow AI server adoption and intensifying competition.

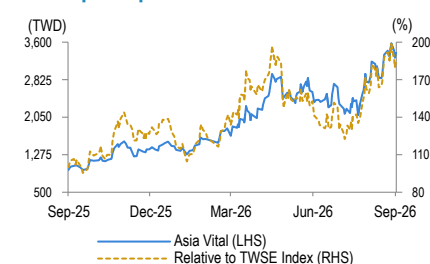
How we differ: Our 2026-28E EPS are 2-17% above Bloomberg consensus, likely on our relatively more aggressive assumptions on revenue, gross and operating margins.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	0.8	12.6	21.0
Net profit change	2.8	14.9	22.1
Core EPS (FD) change	2.8	14.9	22.1

Source: Daiwa forecasts

Share price performance



12-month range	941.00-3,570.00
Market cap (USDbn)	41.61
3m avg daily turnover (USDm)	353.32
Shares outstanding (m)	388
Major shareholder	Furukawa Electric (13.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	225,252	317,002	430,715
Operating profit (m)	61,651	92,248	128,353
Net profit (m)	42,338	64,134	89,411
Core EPS (fully-diluted)	105.880	160.389	223.604
EPS change (%)	119.5	51.5	39.4
Daiwa vs Cons. EPS (%)	2.0	2.7	17.4
PER (x)	31.9	21.1	15.1
Dividend yield (%)	1.3	1.9	2.7
DPS	43.1	65.3	91.1
PBR (x)	15.5	10.1	6.9
EV/EBITDA (x)	19.7	12.9	9.0
ROE (%)	65.1	59.2	55.1

Source: FactSet, Daiwa forecasts

AVC: revenue and earnings forecasts revisions

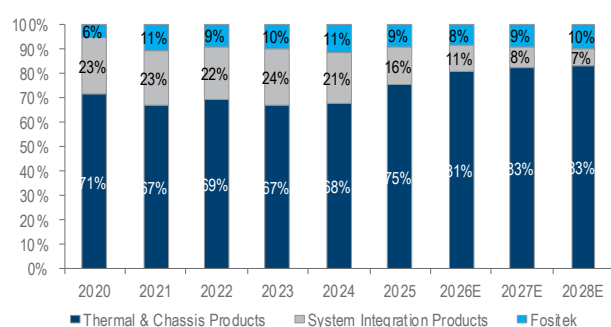
(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	225,252	223,388	0.8%	317,002	281,519	12.6%	430,715	355,994	21.0%
Gross profit	73,883	72,154	2.4%	109,366	95,716	14.3%	150,750	124,598	21.0%
Gross margin	32.8%	32.3%	0.5pp	34.5%	34.0%	0.5pp	35.0%	35.0%	0pp
Operating profit	61,651	60,025	2.7%	92,248	80,796	14.2%	128,353	106,086	21.0%
Operating margin	27.4%	26.9%	0.5pp	29.1%	28.7%	0.4pp	29.8%	29.8%	0pp
Net profit	42,338	41,185	2.8%	64,134	55,799	14.9%	89,411	73,206	22.1%
Net margin	18.8%	18.4%	0.4pp	20.2%	19.8%	0.4pp	20.8%	20.6%	0.2pp
Fully Diluted EPS (TWD)	105.88	102.99	2.8%	160.39	139.53	14.9%	223.60	183.06	22.1%

Source: Daiwa forecasts

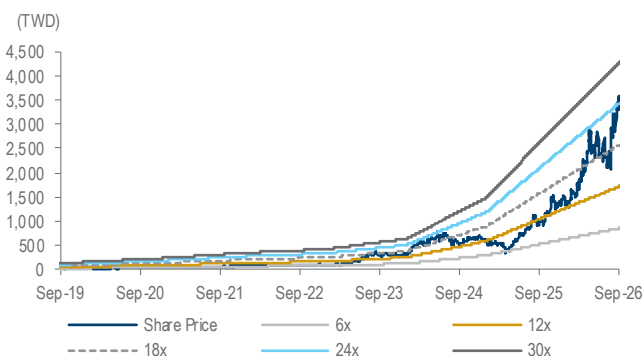
AVC: quarterly and annual P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	49,038	49,121	57,771	69,322	70,000	75,000	78,000	94,002	225,252	317,002	430,715
Gross profit	14,597	15,999	19,353	23,933	23,940	25,875	26,988	32,563	73,883	109,366	150,750
Operating profit	12,019	13,478	16,403	19,751	19,890	21,675	22,688	27,995	61,651	92,248	128,353
Pre-tax profit	11,979	13,935	16,860	20,208	20,404	22,189	23,202	28,509	62,981	94,304	130,409
Net profit	7,916	9,567	11,308	13,547	14,050	15,349	15,486	19,249	42,338	64,134	89,411
Basic EPS (TWD)	20.17	24.37	28.80	34.51	35.79	39.10	39.45	49.03	107.85	163.37	227.76
Margin											
Gross margin	29.8%	32.6%	33.5%	34.5%	34.2%	34.5%	34.6%	34.6%	32.8%	34.5%	35.0%
Operating margin	24.5%	27.4%	28.4%	28.5%	28.4%	28.9%	29.1%	29.8%	27.4%	29.1%	29.8%
Pre-tax margin	24.4%	28.4%	29.2%	29.2%	29.1%	29.6%	29.7%	30.3%	28.0%	29.7%	30.3%
Net margin	16.1%	19.5%	19.6%	19.5%	20.1%	20.5%	19.9%	20.5%	18.8%	20.2%	20.8%
YoY											
Revenue	110.2%	66.0%	48.4%	45.1%	42.7%	52.7%	35.0%	35.6%	61.3%	40.7%	35.9%
Gross profit	142.2%	121.5%	90.3%	89.8%	64.0%	61.7%	39.4%	36.1%	105.0%	48.0%	37.8%
Operating profit	175.6%	164.5%	102.9%	97.2%	65.5%	60.8%	38.3%	41.7%	123.7%	49.6%	39.1%
Pre-tax profit	159.3%	136.3%	105.2%	101.0%	70.3%	59.2%	37.6%	41.1%	118.8%	49.7%	38.3%
Net profit	146.3%	139.3%	111.8%	104.1%	77.5%	60.4%	37.0%	42.1%	120.7%	51.5%	39.4%
QoQ											
Revenue	2.6%	0.2%	17.6%	20.0%	1.0%	7.1%	4.0%	20.5%			
Gross profit	15.8%	9.6%	21.0%	23.7%	0.0%	8.1%	4.3%	20.7%			
Operating profit	20.0%	12.1%	21.7%	20.4%	0.7%	9.0%	4.7%	23.4%			
Pre-tax profit	19.2%	16.3%	21.0%	19.9%	1.0%	8.7%	4.6%	22.9%			
Net profit	19.3%	20.9%	18.2%	19.8%	3.7%	9.2%	0.9%	24.3%			

Source: Company, Daiwa forecasts

AVC: product mix


Source: Company, Daiwa forecasts

AVC: 1-year forward PER


Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal & chassis revenue YoY growth (%)	11.5	22.5	2.2	22.7	116.8	73.4	43.9	37.0
System integration products revenue YoY growth (%)	17.7	14.9	13.9	7.6	46.4	10.0	10.0	10.0
Fositek revenue YoY growth (%)	126.1	(0.2)	12.5	45.0	51.9	50.0	50.0	50.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal & Chassis	31,609	38,707	39,542	48,511	105,148	182,341	262,343	359,405
System Integration Products	10,702	12,296	14,005	15,070	22,063	24,269	26,696	29,366
Other Revenue	5,022	5,013	5,647	8,181	12,428	18,642	27,963	41,944
Total Revenue	47,333	56,017	59,194	71,761	139,639	225,252	317,002	430,715
Other income	0	0	0	0	0	0	0	0
COGS	(38,947)	(45,167)	(46,806)	(54,891)	(103,605)	(151,370)	(207,637)	(279,965)
SG&A	(1,186)	(1,637)	(1,793)	(1,892)	(2,900)	(4,505)	(6,340)	(8,614)
Other op.expenses	(2,373)	(2,907)	(3,174)	(4,156)	(5,579)	(7,727)	(10,778)	(13,783)
Operating profit	4,827	6,306	7,421	10,823	27,556	61,651	92,248	128,353
Net-interest inc./(exp.)	(120)	(184)	(46)	114	91	756	756	756
Assoc/forex/extraord./others	61	367	650	1,415	1,140	574	1,300	1,300
Pre-tax profit	4,768	6,489	8,025	12,352	28,786	62,981	94,304	130,409
Tax	(1,438)	(1,871)	(2,211)	(3,159)	(7,836)	(17,144)	(25,670)	(35,498)
Min. int./pref. div./others	(429)	(456)	(510)	(1,020)	(1,764)	(3,500)	(4,500)	(5,500)
Net profit (reported)	2,901	4,162	5,305	8,172	19,186	42,338	64,134	89,411
Net profit (adjusted)	2,901	4,162	5,305	8,172	19,186	42,338	64,134	89,411
EPS (reported)(TWD)	8.210	11.781	14.106	21.210	49.173	107.850	163.374	227.765
EPS (adjusted)(TWD)	8.210	11.781	14.106	21.210	49.173	107.850	163.374	227.765
EPS (adjusted fully-diluted)(TWD)	8.176	11.728	13.706	20.622	48.238	105.880	160.389	223.604
DPS (TWD)	4.300	5.000	6.960	9.930	21.000	43.140	65.349	91.106
EBIT	4,827	6,306	7,421	10,823	27,556	61,651	92,248	128,353
EBITDA	6,404	8,022	9,375	13,285	30,802	64,919	96,959	134,688

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,768	6,489	8,025	12,352	28,786	62,981	94,304	130,409
Depreciation and amortisation	1,577	1,716	1,954	2,463	3,246	3,268	4,711	6,334
Tax paid	(780)	(1,582)	(1,616)	(2,430)	(3,253)	(17,144)	(25,670)	(35,498)
Change in working capital	(3,275)	(1,339)	3,683	(7,379)	(390)	(15,295)	(7,136)	(16,975)
Other operational CF items	551	3,556	(1,722)	4,628	10,932	(756)	(756)	(756)
Cash flow from operations	2,841	8,840	10,324	9,632	39,321	33,055	65,453	83,515
Capex	(1,567)	(3,666)	(3,657)	(4,540)	(7,267)	(15,000)	(17,000)	(19,000)
Net (acquisitions)/disposals	43	(12)	(23)	(66)	3	0	0	0
Other investing CF items	(636)	(515)	(226)	(3,063)	(6,072)	0	0	0
Cash flow from investing	(2,160)	(4,194)	(3,907)	(7,669)	(13,336)	(15,000)	(17,000)	(19,000)
Change in debt	1,793	4,037	(1,474)	3,309	7,054	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(989)	(1,519)	(1,915)	(2,683)	(3,877)	(7,059)	(16,935)	(25,654)
Other financing CF items	355	(436)	4,261	(426)	(557)	0	0	0
Cash flow from financing	1,159	2,082	872	200	2,620	(7,059)	(16,935)	(25,654)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	1,841	6,728	7,289	2,163	28,605	10,996	31,518	38,862
Free cash flow	1,275	5,174	6,667	5,092	32,053	18,055	48,453	64,515

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	12,915	20,049	26,957	29,924	58,530	69,526	101,043	139,905
Inventory	16,374	18,951	19,369	35,473	51,484	84,174	108,007	149,512
Accounts receivable	6,762	5,081	7,196	8,306	13,212	21,976	29,235	40,871
Other current assets	2,580	1,405	1,370	2,389	2,950	2,950	2,950	2,950
Total current assets	38,631	45,486	54,892	76,092	126,176	178,625	241,234	333,238
Fixed assets	7,711	9,694	11,350	13,805	17,849	29,581	41,870	54,535
Goodwill & intangibles	151	134	177	169	195	195	195	195
Other non-current assets	4,372	5,160	5,248	9,839	15,916	15,916	15,916	15,916
Total assets	50,865	60,474	71,667	99,906	160,137	224,318	299,216	403,884
Short-term debt	5,028	7,970	7,583	13,130	16,311	16,311	16,311	16,311
Accounts payable	20,116	18,911	24,900	36,809	61,128	87,988	112,645	149,514
Other current liabilities	2,832	5,999	4,350	8,350	20,057	13,025	13,025	13,025
Total current liabilities	27,976	32,880	36,833	58,288	97,495	117,324	141,981	178,850
Long-term debt	3,730	4,908	3,678	4,049	7,623	7,623	7,623	7,623
Other non-current liabilities	5,074	5,263	5,309	4,096	4,453	4,453	4,453	4,453
Total liabilities	36,780	43,051	45,820	66,433	109,572	129,401	154,058	190,926
Share capital	3,533	3,533	3,833	3,883	3,983	3,926	3,926	3,926
Reserves/R.E./others	8,880	11,963	18,197	24,988	40,618	81,527	127,268	189,568
Shareholders' equity	12,413	15,496	22,030	28,871	44,601	85,453	131,194	193,494
Minority interests	1,672	1,927	3,817	4,602	5,964	9,464	13,964	19,464
Total equity & liabilities	50,865	60,474	71,667	99,906	160,137	224,318	299,216	403,884
EV	1,309,533	1,306,773	1,300,139	1,303,875	1,283,386	1,275,891	1,248,873	1,215,511
Net debt/(cash)	(4,157)	(7,171)	(15,696)	(12,745)	(34,596)	(45,591)	(77,109)	(115,970)
BVPS (TWD)	35.134	43.861	57.472	74.929	114.306	217.681	334.201	492.902

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	19.3	18.3	5.7	21.2	94.6	61.3	40.7	35.9
EBITDA (YoY)	41.8	25.3	16.9	41.7	131.8	110.8	49.4	38.9
Operating profit (YoY)	47.2	30.6	17.7	45.8	154.6	123.7	49.6	39.1
Net profit (YoY)	51.4	43.5	27.4	54.1	134.8	120.7	51.5	39.4
Core EPS (fully-diluted) (YoY)	51.3	43.4	16.9	50.5	133.9	119.5	51.5	39.4
Gross-profit margin	17.7	19.4	20.9	23.5	25.8	32.8	34.5	35.0
EBITDA margin	13.5	14.3	15.8	18.5	22.1	28.8	30.6	31.3
Operating-profit margin	10.2	11.3	12.5	15.1	19.7	27.4	29.1	29.8
Net profit margin	6.1	7.4	9.0	11.4	13.7	18.8	20.2	20.8
ROAE	25.2	29.8	28.3	32.1	52.2	65.1	59.2	55.1
ROAA	6.2	7.5	8.0	9.5	14.8	22.0	24.5	25.4
ROCE	23.5	23.7	22.0	24.7	44.0	63.8	64.1	63.2
ROIC	39.4	44.5	52.7	52.2	n.a	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	30.2	28.8	27.5	25.6	27.2	27.2	27.2	27.2
Accounts receivable (days)	49.6	38.6	37.9	39.4	28.1	28.5	29.5	29.7
Current ratio (x)	1.4	1.4	1.5	1.3	1.3	1.5	1.7	1.9
Net interest cover (x)	40.3	34.2	162.1	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	52.4	42.4	49.3	46.8	42.7	40.0	40.0	40.0
Free cash flow yield	0.1	0.4	0.5	0.4	2.4	1.4	3.7	4.9

Source: FactSet, Daiwa forecasts

Company profile

AVC is a global leading comprehensive thermal solutions provider in segments related to desktops, laptops, communication, servers, energy and autos. Its main product line includes thermal products (thermal modules and fans), chassis, system assembly and peripheral products and hinges. The company has been listed on Taiwan's main board since September 2002.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	The CEO and Chairperson of AVC are the same individual, but we see no issue with its board quality. Besides, we see the Chairperson has 24 years of experience in this industry, which is a positive sign from an executive perspective.
	Capital management	2	AVC's dividend payout ratio was 40-52% over 2020-25, likely due to its capacity expansion plans.
	Related party & transaction	2	Revenue generated from related-party transactions was 1-3% of total revenue during 2021-25, and we found no suspicious activity.
E	Supply chain management	1	AVC has introduced Hazardous Substance Process Management (HSPM) and received QC080000 certification. In addition, AVC set up a Green Product team to promote HSPM and formulate environmental regulation to make sure its material sourcing and efficiency are well-performed.
E	Data security	1	To prevent the interruption of information systems and leakage of sensitive information causing losses to the company and customers, AVC has introduced an information security management system and passed the ISO 27001 information security management system certification in 2019.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 6 May 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
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Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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